JPM research brief

Thesis: JPMorgan grew FY2025 revenue to $181.8B with 18% ROE and 34.6% net margin, trading at 13.97x trailing P/E and 2.52x P/B versus a $372.73 analyst mean target against a $334.05 close. A Q3 EPS miss, reduced buyback, markedly more negative operating cash flow (-$147.8B), and a steepening yield curve (10Y 5.24% vs Fed funds 3.75%) create near-term uncertainty despite a longer-term uptrend above the 200-day SMA.

Bull case

- Revenue grew to $181.8B (from $169.4B) with 18.0% ROE and 34.6% net margin, reflecting strong core profitability
- Markets & Securities Services revenue up 19% to $41.3B and Investment Banking up 6% to $10.2B show diversified fee growth
- Valuation at 13.97x trailing / 13.12x forward P/E sits below Buy consensus (22 analysts) with a $372.73 mean target, ~12% above last close
- Card spending resilience ($539B) and improving credit quality, with criticized real estate exposure declining from $12.4B to $11.7B
- Beta of 0.873 indicates lower systematic risk than the broad market, with price holding above its 200-day SMA ($322.22) in a longer-term uptrend

Bear case

- Q3 EPS missed expectations ($5.57 vs $5.90 consensus), alongside a reduced buyback program, raising questions about near-term capital return and earnings momentum
- Operating/free cash flow became substantially more negative (-$147.8B in 2025 vs -$42.0B in 2024); filings attribute this to balance sheet growth but do not fully explain the magnitude of the change
- Steepening yield curve (10Y at 5.24% vs Fed funds down to 3.75%) could compress net interest margins despite NII growth to $95.9B
- Dimon warned of rising borrowing costs spilling into corporate credit and a tenfold increase in AI-related cyber threats, flagging operational and macro credit risks
- Stock is down 5.23% over the past month and trading below its 50-day SMA ($348.90), signaling near-term bearish momentum with 22.23% annualized volatility

Fundamentals

FY2025 revenue rose to $181.85B from $169.44B, though net income slipped slightly to $57.05B from $58.47B, with diluted EPS up to $20.02 from $19.75. ROE stands at 18.0% and net margin at 34.6%, reflecting strong core profitability. Total assets grew to $4.425T and equity to $362.44B, but debt-to-equity rose to 1.379x and operating cash flow was -$147.78B, substantially more negative than -$42.01B in FY2024; available filings associate this with balance sheet growth but do not fully detail the drivers. Segment strength was led by Markets & Securities Services (+19% to $41.3B) and Investment Banking (+6% to $10.2B). The stock trades at 13.97x trailing P/E, 13.12x forward P/E, and 2.52x P/B, below the $372.73 analyst mean target against a $334.05 close.

News and catalysts

Sentiment is roughly balanced (28 neutral, 21 positive, 17 negative items). The bank raised its income outlook despite weaker bond trading, and card spending/credit metrics ($539B spend,

improving credit) support a resilient consumer narrative, alongside positive AI/technology positioning. Offsetting this, JPMorgan posted a rare Q3 EPS miss ($5.57 vs $5.90 expected) with a reduced buyback, and Jamie Dimon flagged risks including rising borrowing costs potentially spilling into corporate credit and a tenfold increase in AI-related cybersecurity threats.

Market and macro

JPM closed at $334.05, down 5.23% over the past month but up 8.47% over the trailing year, with 22.23% annualized volatility and a beta of 0.873 versus the S&P 500. The stock trades below its 50-day SMA ($348.90) but above its 200-day SMA ($322.22), suggesting a near-term pullback within a longer-term uptrend. Macro conditions show the Fed funds rate falling to 3.75% while the 10-year Treasury yield rose sharply to 5.24%, a steepening dynamic that could pressure bank margins. CPI remains elevated at 3.72% YoY, unemployment eased to 4.2%, and real GDP grew 2.19% YoY, pointing to a resilient but inflation-pressured economy.

Conclusion

JPMorgan's fundamentals remain solid—strong ROE, margin, and segment fee growth—at multiples below the analyst consensus target, but near-term risks (Q3 miss, reduced buyback, sharply more negative operating cash flow, and a steepening yield curve) warrant caution. A more constructive near-term stance would require evidence that cash flow normalizes, buybacks resume, yield-curve steepening stabilizes without NIM compression, and credit metrics (including real estate criticized exposure) continue improving; conversely, further buyback cuts, a sustained break below the 200-day SMA, or escalating credit/cyber risk commentary from management would reinforce caution. This is analysis, not investment advice.

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